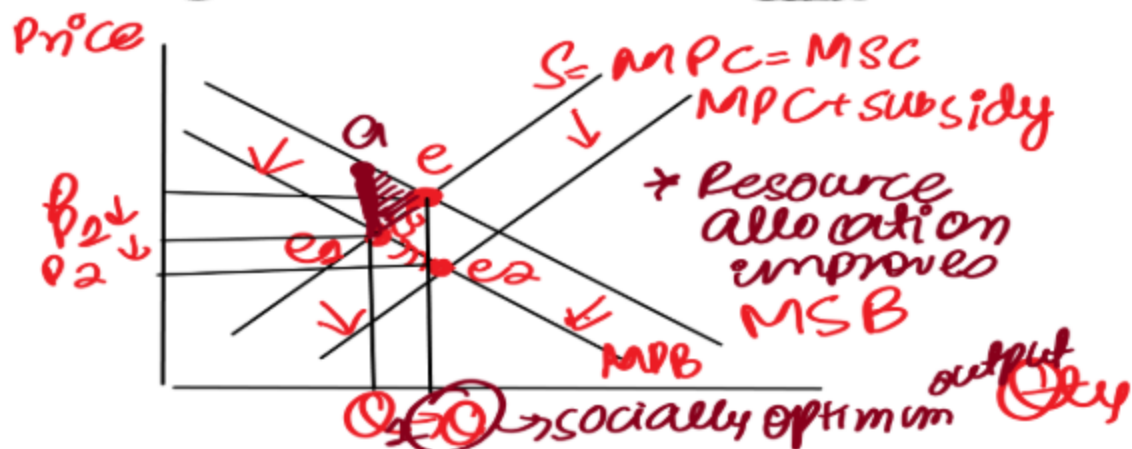


1-B

Allocative efficiency concerns the allocation of resources. It occurs when resources are allocated optimally from the society's point of view, that is when $MSB=MSC$. And since, no under-allocation or over-allocation is done, this means that no externalities are being ignored, and therefore, total welfare to the society is maximized.

- A- Product differentiation comes under the banner of non-price competition. It is when slightly different variations of a product are produced to stand out of competition, and is mostly practiced in monopolistic competition and in a non-collusive oligopoly market structure. This does not ensure allocative efficiency that is achieved when $MC=AR$.
- B- Subsidies are used to correct market failure associated with under-allocation of merit goods, and therefore help in achieving allocative efficiency. Initially, when qty of "Q1" was produced, there was under-allocation of resources, which resulted in deadweight loss of "aee1". But, now after subsidy, when supply increases from MSC to $MPC+subsidy$, the output of "Q", which is the socially desirable level of output is produced, which means that resource allocation will improve. This is why, key B, becomes correct.



- C- A monopsony is an employer with a monopolistic buying power. It employs workers at the profit maximizing level of employment, that is when $MCL=MRP$. Since, its hiring is less than the socially desirable level of employment where $DL=SL$, as done by the perfectly competitive labor market, it can be said that it engages in "under-employment", which results in market failure.
- D- Supernormal profits may occur as a result of monopoly exploitation which again represents market failure.

2C:

- ➔ Since the company electrified the main railway line between two cities, it will have faced an increase in costs, thus representing the fact that “private costs will rise”. Additionally, since the work was noisy, this indicates a rise in external costs due to the existence of noise pollution.
- ➔ Moreover, private benefits also increased since the company may have also seen a decrease in journey times. Additionally, since other firms may have also benefitted from a reduction in journey times since the railway line was electrified between two cities, it can be said that external benefits also rose.

That being said, option C, is correct since private benefits and private costs rose.

3-D:

The divergence between private costs and social costs occurs because of “external costs”

A and B: Equal pay legislation and minimum wage legislation will reduce rich poor disparity but will not contribute in reducing external costs.

C – The abolition of tuition fee paid by university students will reduce private costs borne by the students.

D – By dedicating lanes to buses, the efficiency of public transportation may rise, and since it will reduce the number of private vehicles on the road, congestion will reduce. This, in turn, lowers the external cost of congestion, which includes wasted time and air pollution. This is why, this becomes correct.

4-C:

The correct answer is C) Lower risks from supplying a wider range of customers.

An internal economy of scale refers to a cost advantage that a firm achieves due to its own internal growth or expansion.

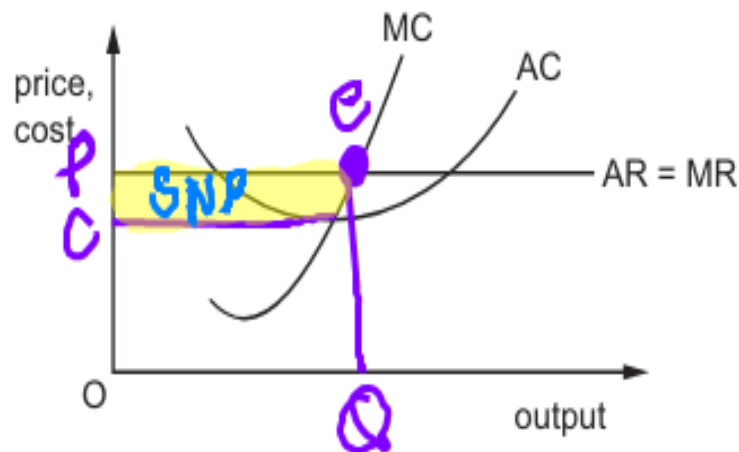
Option C is correct because:

- When a firm supplies a wider range of customers, it can spread its risk across a larger customer base, reducing its dependence on individual customers and thus lowering its risk. This is an example of a risk bearing economies of scale.

The other options are incorrect because:

- A) Efficient local transport networks are an external economy of scale, as it benefits all firms in the area, not just the one that has grown or expanded.
- B) Improved access to spare parts as a result of industry growth is also an external economy of scale, as it benefits multiple firms in the industry, not just the one that has grown.
- D) The training of skilled labor at a college financed by local firms is an example of an external economy of scale, as it benefits multiple firms in the area, not just the one that has grown or expanded.

5-B:



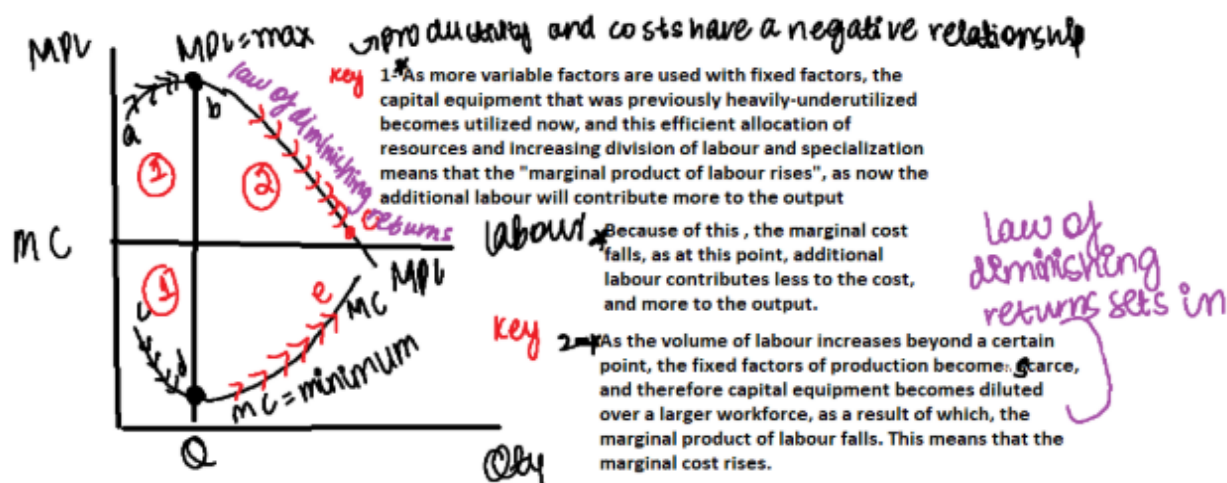
Since the average costs are lesser than Average revenue, this represents that “super-normal profits” will be made in the short-run. Because of this, more firms will be attracted to enter the industry in the long-run in pursuit of enjoying these profits, and this free movement of capital arising from no barriers to entry and exit, **will mean that the number of firms in the industry in the long-run will increase.**

6-C:

The question mentions that fixed inputs remain unchanged, which is why, it can be said that this represents a short-run situation.

A – Since inputs are greater than outputs, **Average total cost** cannot fall

B_ Since, a rise in labor inputs (variable inputs), leads to a rise in total product at a diminishing or a decreasing rate, this means that the marginal product of labor is falling as now additional labor is contributing less to the output. And, as a result of which, the “marginal cost” rises rather than falling. This can be seen in the diagram below:



C- Since, a rise in labor inputs (variable inputs), leads to a rise in total product at a diminishing or a decreasing rate, this means that the marginal product of labor is falling as now additional labor is contributing less to the output. This explains the “law of diminishing returns”. This is explained above in key 2. This is why, key C, becomes correct.

D – Although diseconomies of scale arise when inputs are greater than the output, and therefore, average total cost is higher, **this becomes incorrect since it only occurs in the “long-run”**. And, this question is about the “short-run”

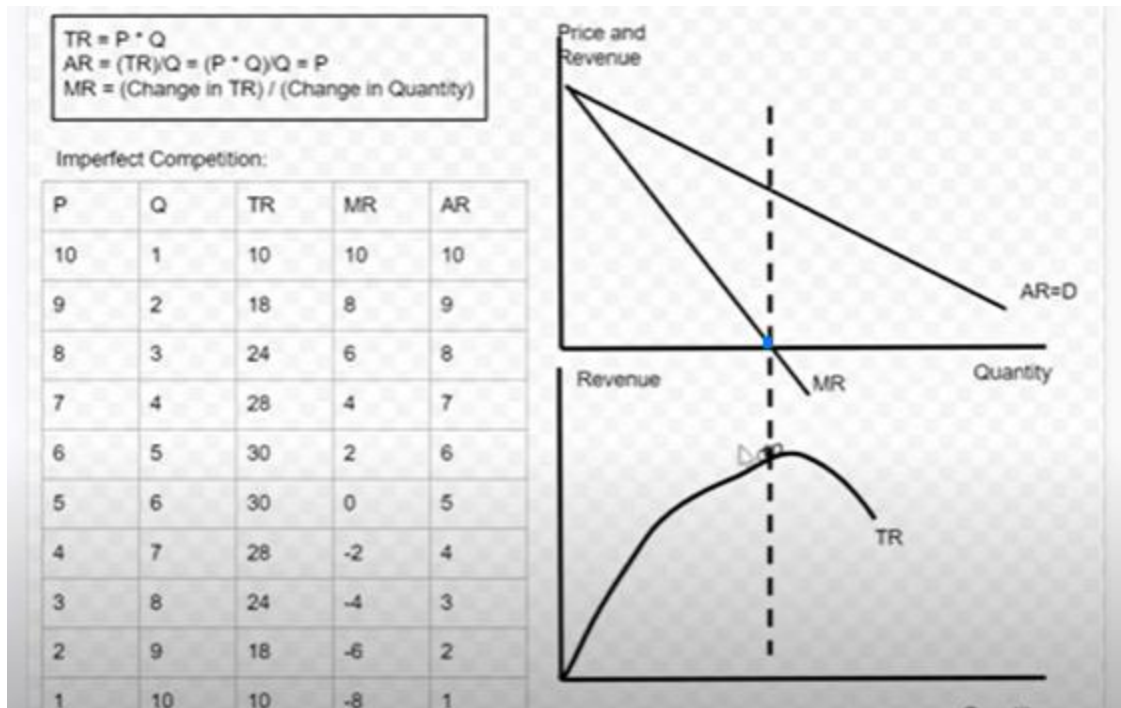
7-B:

Price discrimination represents a situation when different prices are charged to different consumers, the reasons of which do not depend on cost, but rather depend upon price-elasticity of demand.

- ➔ Charging rail fares to meet the additional costs of train companies is not an example of price discrimination. This is because, the reasons do not depend on cost.
- ➔ The airline is charging different prices for the same return flight based on the passenger's stay duration and day of the week.
By offering a lower fare for passengers who stay overnight on a Saturday, the airline is targeting price-sensitive leisure travelers who are more likely to have flexibility in their travel plans. This group is willing to stay an extra night to get a better deal.

This is why, this practice will be classed as “price discrimination”

8-C:



The diagram above explains that in order to maximize total revenue, the output sold should increase until when $MR=0$.

This is because:

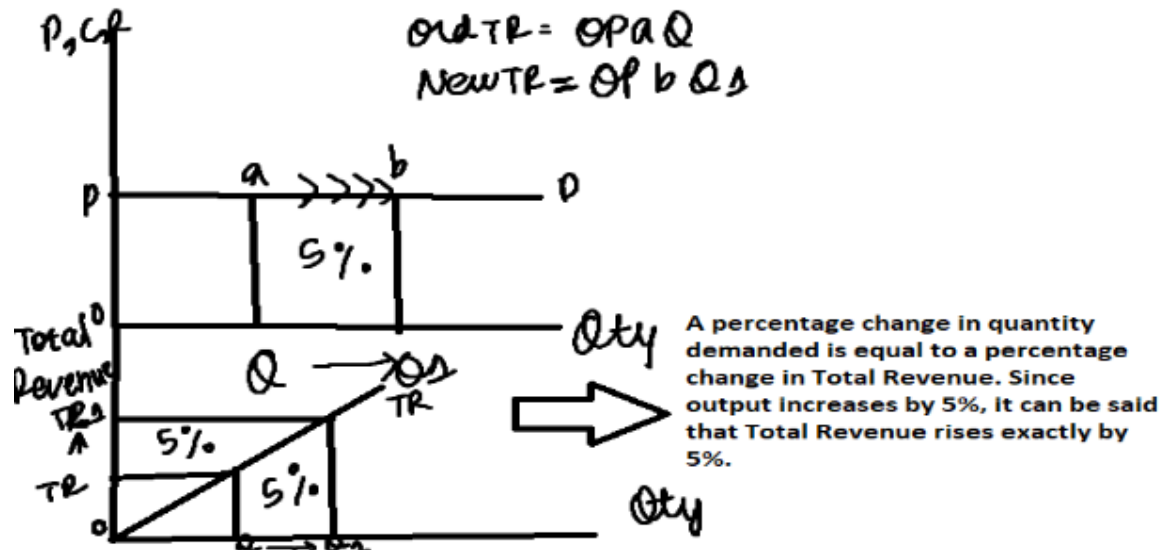
- When $MR > 0$, the additional revenue from selling one more unit is positive, so increasing output increases total revenue.
- When $MR < 0$, the additional revenue from selling one more unit is negative, so increasing output decreases total revenue.
- At the point where $MR = 0$, the total revenue is maximized.

A – When $MR=AR$, AR will be at its maximum and not TR

B – When MR is at its maximum as can be seen in the table above, TR is not maximized

D – We do not consider PED to make pricing decisions to increase total revenue. But we don't use it to decide the level of output that will maximize Total Revenue, which is when $MR=0$.

9-B:



This explains why option B will be correct

10-C:

When predatory pricing strategies are employed, a firm decreases its prices such that it temporarily enters in a loss making situation to kick existing competitors outside of the industry, and once competition has been eliminated, prices are raised again in the long-run. This explains why, key C, will be correct.

11-D:

A – An ability to detect price cuts by rivals will ensure that no cheating takes place which strengthens the collusion.

B – Abolition of anti-trust measures represents that regulations have been relaxed, which will encourage more firms to collude.

C – The existence of small number of “large players” in the market represents that firms have a higher degree of market power, which again facilitates collusion.

D – This is correct because unstable demand conditions for products will act as a barrier to collusion. This is because, colluding firms will not be able to maximize joint profits this way.

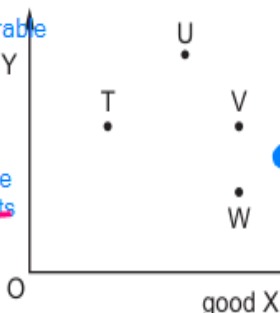
12-B:

12 The diagram represents different combinations of good X and good Y.

A consumer prefers more units of both goods to fewer units but prefers, as far as possible, not to give up any of good Y to obtain more of good X.

Combination T is the third most desirable combination and is better relative to W because a higher quantity of Y is consumed there.

The least desirable combination will be W because that is when the least units of good Y are consumed, or in other words, more of good Y will have to be foregone to achieve an increase in consumption of W.



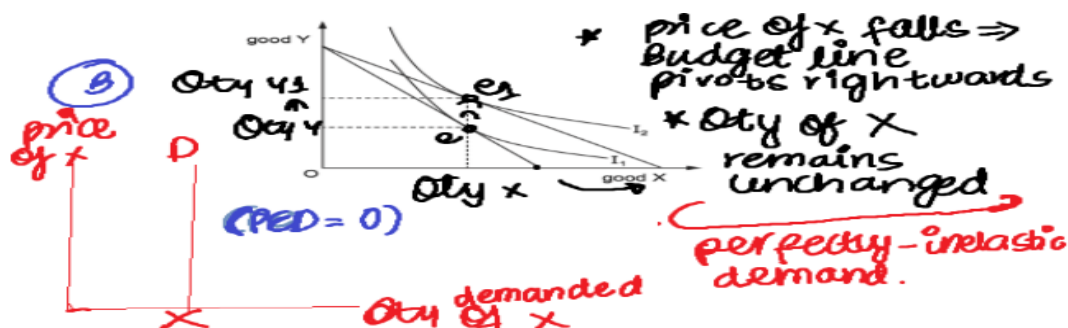
Combination U will be the most desirable combination because it is when the highest combination of good Y will be consumed, alongside a good amount of good X.

Combination V will be the second most desirable combination compared to the remaining options because a higher quantity of both X and Y is consumed there.

In this context, "order of preference in descending order" means ranking the combinations of goods X and Y from the most preferred to the least preferred. In other words, the consumer is asked to prioritize the combinations in the diagram, starting with the one they most desire (first choice) and ending with the one they least desire (last choice). Here's what "descending order" means in this context:

1. First choice (most preferred) 2. Second choice 3. Third choice 4. Last choice (least preferred). This explains why, key B, will be correct

13-B:



A – A is incorrect because in this graph, the qty of X will change.

B – It can be seen in the diagram above that this option will be correct, as regardless of a fall in price of X, qty of X remains unchanged, which represents that "PED=perfectly-inelastic." This is why, this option becomes correct.

C – This is incorrect because in this graph, the price of Y will change, which did not occur.

D – Here, qty of Y is shown to be unchanged, which is incorrect, as the qty of Y is changing in the question.

14-B:

A – Existence of barriers to entry will result in monopolies to occur, and monopoly exploitation is a reason for market failure.

B – If building regulations are imposed, this will lead to a check being kept on the number of buildings constructed. These regulations can address externalities like pollution, noise, or safety hazards that buildings may impose on neighboring properties or the community. By setting standards, regulations can internalize these externalities, preventing negative impacts on third parties, thereby helping to prevent market failure.

C – Growth of firms may again give existence to a monopoly market structure. And monopoly exploitation is a reason for market failure.

D - Information asymmetry: Advertisers may present biased or misleading information, taking advantage of consumers' lack of knowledge or critical thinking, leading to uninformed decisions. And this will then result in market failure.

15-D:

In order for equal distribution of income to be achieved, the gini co-efficient must decrease.

- ➔ In Brazil , the gini coefficient decreased from 60 to 55 by 5 points. Although inequalities are reducing, but they are not being reduced by the greatest points.
- ➔ In China, the gini coefficient is seen to rise from 35-42, which indicates that inequalities will rise.
- ➔ In India, the gini coefficient is seen to rise from 28 to 37, which indicates that inequalities will rise .
- ➔ It is in Mexico that gini coefficient is seen to fall from 60 to 52 by 8 points, which is the highest among the countries, thereby indicating that there will be a greatest move towards equal distribution of income.

This is why, option D, will be correct.

16-A:

Regulations represent rules/laws/bans or limits.

- ➔ Increasing the license fees for new boats, insisting that all fish caught are sold to local people, and restricting the areas in which boats can fish are all examples of regulations.

- ➔ Nudge theory is a form of coercion, which aims to influence or nudge individuals' behavior in a particular direction, which is in contrast to the traditional view that consumers behave in rational way. An example of this will be the distribution of leaflets about the need to safeguard fish stocks. This is why, option A becomes correct.

17-A:

The correct answer is A) It acts as a disincentive to innovation.

- ➔ Government regulation aimed at restricting profits in a monopolistic industry can reduce the incentive for firms to invest in research and development, as they may not be able to recoup their investment through higher profits. This can lead to a decrease in innovation and technological progress in the industry.

The other options are not correct because:

B) Regulation can actually help account for externalities by imposing standards or taxes that internalize the external costs.

- C) Regulation does not necessarily lead to diseconomies of scale, which occur when a firm's average costs increase as output increases.

- D) Regulation may actually reduce excessive advertising by firms, as it can limit promotional expenses or require truthful advertising.

This explains why key A will be correct.

18-A:

A) Creation of property rights enables individuals or communities affected by river pollution to seek compensation for damages or harm caused by the pollution.

- This provides a legal recourse for those impacted, holding the polluter accountable and allowing for restitution.

This explains that it allows the possibility of a claim for compensation to those harmed. This is why, this becomes correct.

B) The emphasis here is on the word "always"

This option is incorrect because creating property rights does not necessarily ensure that the polluter always pays for the pollution caused.

- While property rights can provide a framework for accountability, enforcement and regulation are still necessary to ensure polluters are held responsible.

C - This option is incorrect because creating property rights does not directly lead to better government monitoring of pollution damage.

- **Government monitoring and regulation are separate entities that may or may not be affected by property rights creation.**

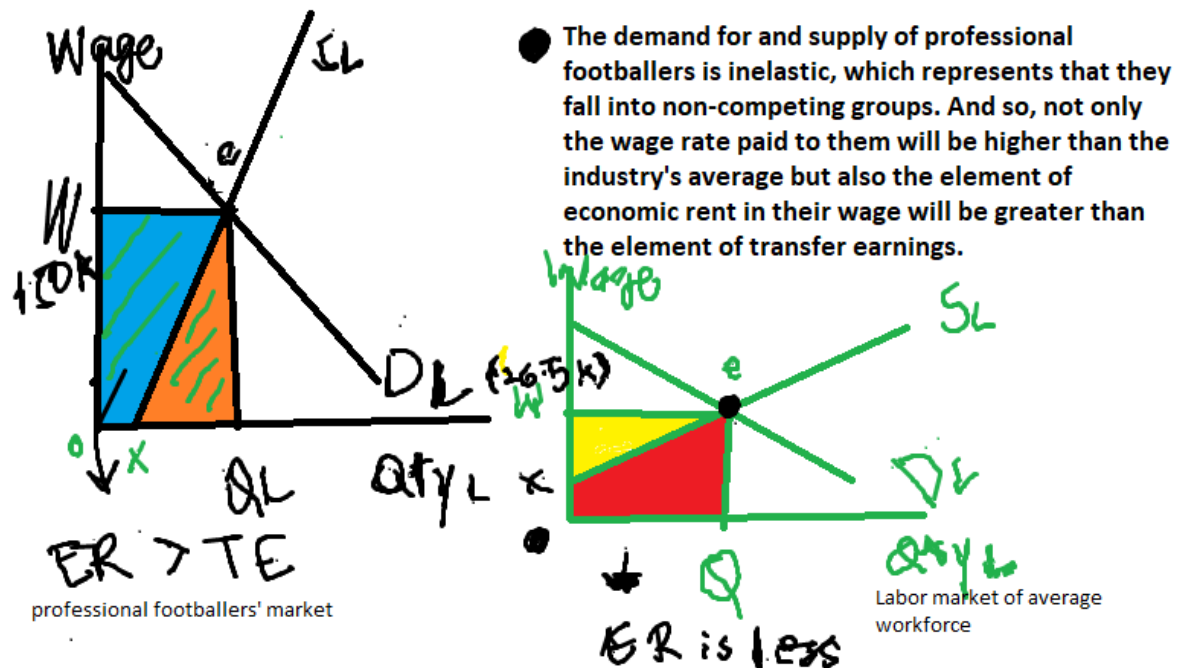
D) This option is incorrect because creating property rights is not a guarantee that pollution will be completely eliminated.

- While property rights can provide incentives for polluters to reduce their impact, other factors like enforcement, regulation, and technological solutions are also necessary to effectively address pollution.

19-B:

A – Professional footballers' skills may be enough to earn for them a higher wage than the industry average, which means that they may not require aggressive wage bargaining by the trade union.

B – The diagram below explains why key B will be correct



C – Had there been a monopsony structure for the market of professional footballers, they may have been exploited and paid a lesser wage rate.

D - The theory of net advantages focuses on the balance of advantages and disadvantages of a particular job, which doesn't explain the extreme wage premium for top footballers.

20-B:

A – Cutting welfare spending on benefits will increase the difference between take home pay of the employed and the welfare benefits, as a result of which, voluntary unemployment is likely to reduce.

B – Improving information about job vacancies will reduce the time take to search a better job, thereby reducing frictional unemployment.

C – Reducing tax rates as part of expansionary fiscal policy will reduce cyclical unemployment

D – Increasing interest rates as part of contractionary monetary policy will increase cyclical unemployment.

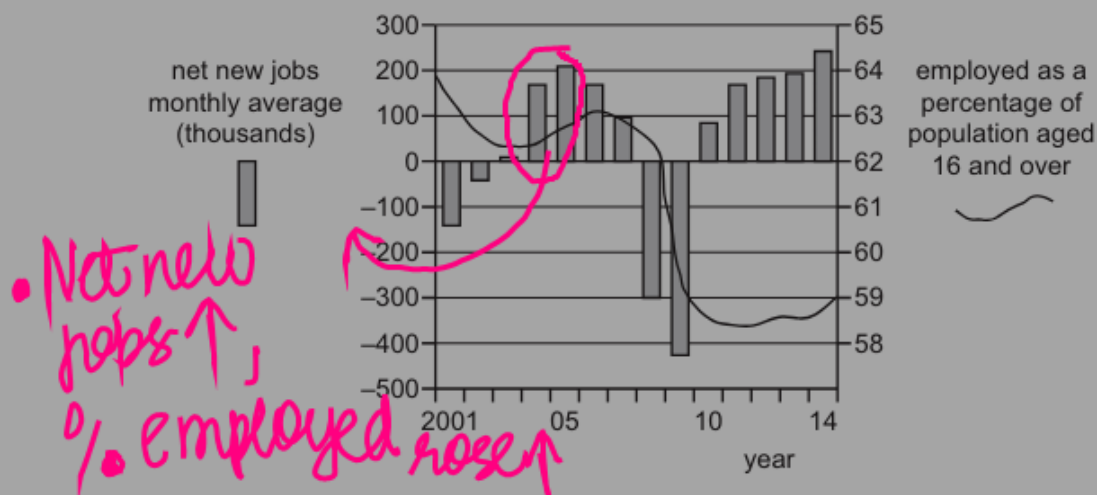
21-A:

- A- Developing countries or less developed countries have a higher birth rate because a higher infant mortality rate means that parents would want to have more children as they know many of them will not survive when they grow up. Importantly, there is a dominant primary sector (agriculture, mining etc) because industrial development and diversification is limited. This is why, this becomes correct.
- B- Capital intensive production requires significant investment which is often lacking in LDCs. Savings rate are also low due to poverty and limited financial infrastructure.
- C- Declining populations are not typical here, instead, population growth is often high. This is because a higher birth rate results in a higher natural increase.
- D- Net inward migration is unlikely in LDCs , as they often experience emigration due to poverty and an inferior standard of living. Low death rates are also not a characteristic as healthcare and sanitation are under-developed.

22-B

- ➔ It can be seen in the diagram below that when net new jobs rose, employed as a percentage of population aged 16 and over rose too, thereby making key B correct.

22 The diagram shows selected US labour statistics from 2001 to 2014.



What can be concluded from the diagram about 2001-2014?

- A Employment as a percentage of the population aged 16 and over declined continuously.
- ☒ B In periods when the number of net new jobs was rising the percentage employed increased.
- C The natural rate of unemployment was achieved only in 2008.
- D The number of unemployed workers fell in all except four years.

A – Employment as a percentage of population did not decline continuously. It did increase as well in some years.

C – We do not have information to deduce the natural rate of unemployment.

D – We cannot deduce if number of employed workers fell or not because we only have data in percentages.

23-B:

Initial Situation:

$$MV = PT$$

- $M \times V = P \times T$

V increases:

- New $V' = V + \Delta V$ (where ΔV is the increase in V)
- M remains constant, so:
- $M \times V' = M \times (V + \Delta V)$

Impact on PT:

- Since $M \times V'$ increases, PT must also increase to maintain the equation:
- $P' \times T = M \times V'$
- Since T is constant (full employment), P' must increase to match the increase in MV'

So, the correct answer is B) prices.

Here's how the options relate to the $MV = PT$ equation:

A) **Output (T) is constant under full employment**, so an increase in V wouldn't affect T.

B) **Prices (P) would increase as a result of the increase in V**, as explained above.

C) **The demand for money (M) might actually decrease if V increases**, as people would need to **hold less money to facilitate transactions**.

D) **The quantity of money (M) is not directly affected by an increase in V**, as it's **determined by the monetary authorities**.

24-B:

The formula of multiplier is $1/(1-mpc)$ or $1/mps$. Here since $mps = 0.25$, the value of multiplier will be "4"

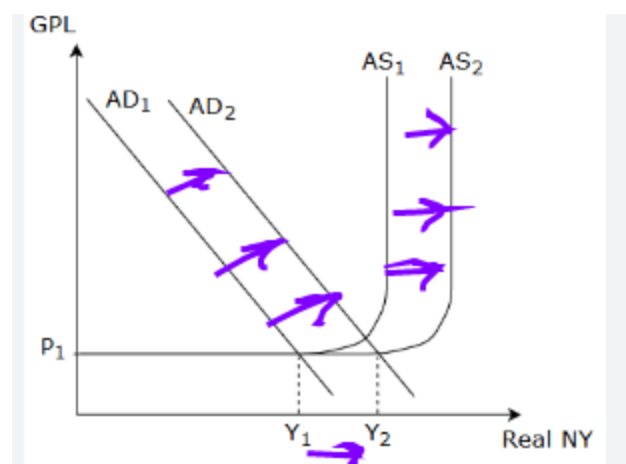
This is why, B is correct

25-D:

A – A reduction in the number of hours worked per employee means that the total output produced will be less, as a result of which, economic growth will fall.

B – An increase in business regulation will discourage enterprise, thereby slowing down economic growth

C – A significant emigration of labor will bring about a reduction in the productive potential or the long run Aggregate supply of the economy.



D – An invention of new technology will boost the productive potential of the economy, and when investment to use it in the economy also rises, the potential will be used, which will lead to a rise in economic growth. Since both actual and potential are seen to rise, there will be prolonged economic growth.

26-A:

A decrease in welfare payments will bring about a fall in the standard of living of the lowly paid, which is why, this becomes correct.

B and D: Changes in the size of the working population and inflation will not be the factors here, as **real income per head data has them already adjusted.**

C – An increase in trade deficits may not decrease standard of living if high quality consumer goods are being imported by individuals.

27- D:

Previously, the income of the director was: 80,000

Now after redundancy, he will be earning 40,000 as consultancy fee and 30,000 as private pension.

Since now he will be earning 70,000(40,000+30,000), this **represents that there has been a fall by \$10,000**

Additionally, when the gardener has been made redundant, there will be a fall in incomes by another 8000

This means that national income will fall by 18000 in the first year.

28-D:

The correct answer is D) technological innovations in productive processes.

Technological innovations can lead to sustainable economic growth, as they improve productivity and efficiency, allowing for more output with the same inputs. This option involves the least cost for present and future generations, as it:

- Doesn't deplete natural resources (unlike exploiting mineral resources)-> option A
- Doesn't burden future generations with debt (unlike borrowing from abroad)-> option B
- Doesn't require sacrificing current consumption for future growth (unlike high rates of domestic savings)- option C

Technological innovations can lead to win-win situations, where economic growth is achieved without compromising the well-being of present and future generations

29-D:

The correct answer is D) an end to nationally negotiated wage rates.

→ Nationally negotiated wage rates can lead to higher labor costs, which can discourage industrial expansion in a region with high unemployment. By allowing local wage rates to be determined by local market conditions, businesses may be more likely to invest and expand in the region, as labor costs would be more competitive.

A) Rationing building development would limit the ability to expand or build new facilities.

B) Reducing tax allowances on investment would make it more costly for businesses to invest in the region.

C) Requiring only local labor to be employed could limit the availability of skilled workers and increase labor costs.

30-B:

